

rendered it practically useless. To pay off some of the debt, the steel-plate mill was sold to Lukens Corp. for somewhere around \$5 million, and the rest of the plant was presumably sold for scrap.

A textile company may have a warehouse full of fabric that nobody wants, carried on the books at \$4 a yard. In reality, they couldn't give the stuff away for 10 cents. There's another unwritten rule here: The closer you get to a finished product, the less predictable the resale value. You know how much cotton is worth, but who can be sure about an orange cotton shirt? You know what you can get for a bar of metal, but what is it worth as a floor lamp?

Look what happened a few years ago when Warren Buffett, the savviest of investors, decided to close down the New Bedford textile plant that was one of his earliest acquisitions. Management hoped to get something out of selling the loom machinery, which had a book value of \$866,000. But at a public auction, looms that were purchased for \$5,000 just a few years earlier were sold for \$26 each—below the cost of having them hauled away. What was worth \$866,000 in book value brought in only \$163,000 in actual cash.

If textiles had been all there was to Buffett's company, Berkshire Hathaway, it would have been exactly the sort of situation that attracts the attention of the book-value sleuths. "Look at this balance sheet, Harry. The looms alone are worth \$5 a share, and the stock is selling for \$2. How can we miss?" They could miss, all right, because the stock would drop to 20 cents as soon as the looms were carted off to the nearest landfill.

Overvalued assets on the left side of the balance sheet are especially treacherous when there's a lot of debt on the right. Let's say that a company shows \$400 million in assets and \$300 million in debts, resulting in a positive book value of \$100 million. You know the debt part is a real number. But if the \$400 million in assets will bring only \$200 million in a bankruptcy sale, then the actual book value is a negative \$100 million. The company is less than worthless.

This is essentially what happened to the unlucky investors who bought stock in Radice, a Florida land-development company listed on the New York Stock Exchange, on the strength of its \$50 a share in total assets, which must have looked pretty enticing with the stock at \$10. But much of the value in Radice was illusory, the result of the strange rules of real estate accounting, in which the interest that's owed on the debt is counted as an "asset" until the project is completed and sold.

That's okay if the project succeeds, but Radice couldn't find any takers for some of its major development projects, and the creditors (banks) wanted their money back. The company was heavily indebted, and once the bankers called in their chits, the assets on the left side of the balance sheet disappeared while the liabilities remained. The stock price dropped to 75 cents. When the actual worth